

EVG1012 - Walter & June Hoffman - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Walter E. Hoffman (XXX-XX-1180) / June A. Hoffman (XXX-XX-6437) - both 65 or older
Address	47 Laurel Knob Rd, Asheville, NC 28804
Filing status	Married filing jointly
Digital assets question	No
Forms included	1040, Schedule 1-A, Schedule B, Schedule D, Form 6252; NC D-400 with Schedule S
State	North Carolina D-400 (resident)
Filing method	E-file federal and NC (Form 8879 / NC e-file authorization wet-signed 04/06/2026); federal balance due \$37 k

Key figures	Amount
Total income (1040 line 9)	157,434
Adjusted gross income (line 11)	157,434
Deduction (line 12e) - Standard	34,700
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	11,108
Taxable income (line 15)	111,626
Total tax (line 24)	12,817
Total payments (line 33)	12,780
BALANCE DUE (line 37 + 38)	37

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	0
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	0
2a	Tax-exempt interest	0
2b	Taxable interest	20,321
3a	Qualified dividends	2,613
3b	Ordinary dividends	3,104
4a	IRA distributions	8,600
4b	IRA distributions - taxable amount	8,600
5a	Pensions and annuities	59,600
5b	Pensions and annuities - taxable amount	59,188
6a	Social security benefits	58,020
6b	Social security benefits - taxable amount	49,317
7	Capital gain or (loss) (Schedule D)	16,904
8	Additional income from Schedule 1, line 10	0
9	Total income	157,434
10	Adjustments to income from Schedule 1, line 26	0
11	Adjusted gross income	157,434
12e	Standard deduction or itemized deductions (Standard)	34,700
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	11,108
14	Add lines 12e, 13a, and 13b	45,808
15	Taxable income	111,626
16	Tax	12,817
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	12,817
19	Child tax credit / credit for other dependents (Schedule 8812)	0
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	0
22	Subtract line 21 from line 18	12,817
23	Other taxes, including self-employment tax, from Schedule 2, line 21	0
24	Total tax	12,817
25a	Federal income tax withheld - Form(s) W-2	0
25b	Federal income tax withheld - Form(s) 1099	6,780
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	6,780
26	2025 estimated tax payments and amount applied from 2024 return	6,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	0
33	Total payments	12,780
34	Amount overpaid	0
35a	Refund	0
37	Amount you owe	37
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Blue Ridge Savings Bank	2,339
1.2	Seller-financed mortgage interest - Aaron M. Caldwell & Beth L. Caldwell, SSN XXX-XX-6641, 912 Sugar Hollow Rd, Fairview, NC 28730 (incl. \$75 late charge)	17,983
2	Total interest	20,321
4	Taxable interest (to Form 1040, line 2b)	20,321
5.1	Blue Ridge Growth Fund	3,104
6	Ordinary dividends (to Form 1040, line 3b)	3,104
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule D

Line	Description	Amount
7	Net short-term capital gain or (loss)	0
11	Gain from Form 4797 Part I; long-term gain from Forms 2439, 6252, 4684, 6781, 8824	16,904
15	Net long-term capital gain or (loss)	16,904
16	Combine lines 7 and 15	16,904

Schedule A

Line	Description	Amount
1	Medical and dental expenses	12,580
3	7.5% of AGI	11,808
4	Deductible medical	772
5a	State and local income taxes	0
5b	State and local real estate taxes	4,120
5c	State and local personal property taxes	0
5d	Add lines 5a through 5c	4,120
5e	Smaller of line 5d or SALT limit (\$40,000 after MAGI phase-down)	4,120
7	Total taxes	4,120
8a	Home mortgage interest and points reported on Form 1098	0
8e	Add lines 8a through 8c	0

Line	Description	Amount
10	Total interest	0
11	Gifts by cash or check	3,300
12	Other than by cash or check	0
14	Total gifts to charity	3,300
17	Total itemized deductions	8,192

Schedule 1-A

Line	Description	Amount
Part I	Modified AGI	157,434
Part V	Enhanced deduction for seniors (2 x max(0, 6,000 - 6% x excess MAGI 7,434))	11,108
38	Total additional deductions (to Form 1040, line 13b)	11,108

Form 6252 - Installment Sale Income (2025)

Form 6252 (2025) - Part II (year after the year of sale) - Caldwell land note	Amount
Line 1 Property: 22 acres unimproved land, Sugar Hollow Rd, Fairview NC; acquired 04/1998; sold 12/13/2024; not related party	
Line 19 Gross profit percentage (from 2024 Form 6252: 307,000 / 420,000)	73.0952%
Line 21 Payments received during 2025 - principal portion of 11 installments (payments 1-11)	23,126
Line 22 Add lines 20 and 21	23,126
Line 23 Payments received in prior years (2024 down payment)	84,000
Line 24 Installment sale income (line 22 x line 19)	16,904
Line 25 Ordinary income recapture	0
Line 26 Subtract line 25 from line 24 - long-term (to Schedule D line 11)	16,904
Note: payment 12 (due 12/15/2025) received 01/06/2026 -> 2026 (cash basis) - principal	2,166
Principal balance 12/31/2025 (after payment 11)	312,874

Installment payment schedule - 2025 (from ledger + amortization schedule)

#	Due	Received	Check amount	Interest (amortization)	Principal	Year
1	01/15/2025	01/14/2025	3,730	1,680	2,050	2025
2	02/15/2025	02/14/2025	3,730	1,670	2,061	2025
3	03/15/2025	03/17/2025	3,730	1,659	2,071	2025
4	04/15/2025	04/15/2025	3,730	1,649	2,081	2025
5	05/15/2025	05/15/2025	3,730	1,639	2,092	2025
6	06/15/2025	06/13/2025	3,730	1,628	2,102	2025
7	07/15/2025	07/22/2025	3,805	1,618	2,113	2025
8	08/15/2025	08/15/2025	3,730	1,607	2,123	2025
9	09/15/2025	09/15/2025	3,730	1,597	2,134	2025
10	10/15/2025	10/15/2025	3,730	1,586	2,144	2025

#	Due	Received	Check amount	Interest (amortization)	Principal	Year
11	11/15/2025	11/14/2025	3,730	1,575	2,155	2025
12	12/15/2025	01/06/2026	3,730	1,564	2,166	2026
2025 total			41,108	17,908	23,126	

Senior deduction phase-out

Schedule 1-A Part V - Enhanced deduction for seniors	Amount
Modified AGI	157,434
Threshold (MFJ)	150,000
Excess x 6%	446
Walter (73): \$6,000 less reduction	5,554
June (71): \$6,000 less reduction	5,554
Total (Form 1040 line 13b)	11,108

Itemized vs standard deduction

Standard vs itemized	Amount
Medical: Medicare Part B from SSA-1099s (4,440) + Medigap/Part D/out-of-pocket (8,140)	12,580
Less 7.5% of AGI	(11,808)
Deductible medical	772
Property tax	4,120
Charitable	3,300
Total itemized	8,192
Standard deduction MFJ \$31,500 + 2 x \$1,600 (both 65+)	34,700

State / Local Returns

North Carolina Form D-400 (2025) - Resident - MFJ

Line	Description	Amount
6	Federal adjusted gross income	157,434
7	Additions to federal AGI (Schedule S Part A)	0
9	Deductions from federal AGI (Schedule S Part B)	80,105
S-B	- Taxable social security included in federal AGI	49,317
S-B	- Bailey settlement: June's NC TSERS benefits (vested 5+ yrs as of 08/12/1989) included in federal AGI	30,788
S-B	- Walter's private pension and IRA RMD: NOT exempt (no NC general retirement exclusion)	0
10	Child deduction	0
11	NC standard deduction (MFJ - no additional amount for age in NC)	25,500
14	North Carolina taxable income	51,829
15	North Carolina income tax (4.25%)	2,203
16-17	Tax credits	0
18	Consumer use tax (client: none)	0
19	Add lines 17 and 18	2,203
20a	NC income tax withheld (Pisgah Paper pension 1099-R)	1,100
21a	2025 NC estimated tax payments	1,200
25/28	Refund	97

Installment-sale gain and seller-financed interest are taxable in NC (included in federal AGI, no NC subtraction).